

Good morning, Pro Briefers!

For the first time since 1962, the U.S. Navy is asking Congress for its biggest shipbuilding budget in over 60 years.

How much? *\$65.8 billion*. The money is set aside to fund 34 new ships, a mix of 18 combat vessels and 16 supply and support vessels.

But here's the thing: This won't be a one time payment.

Instead, it may be the start of a long-term rebuild of America's entire shipbuilding industry.

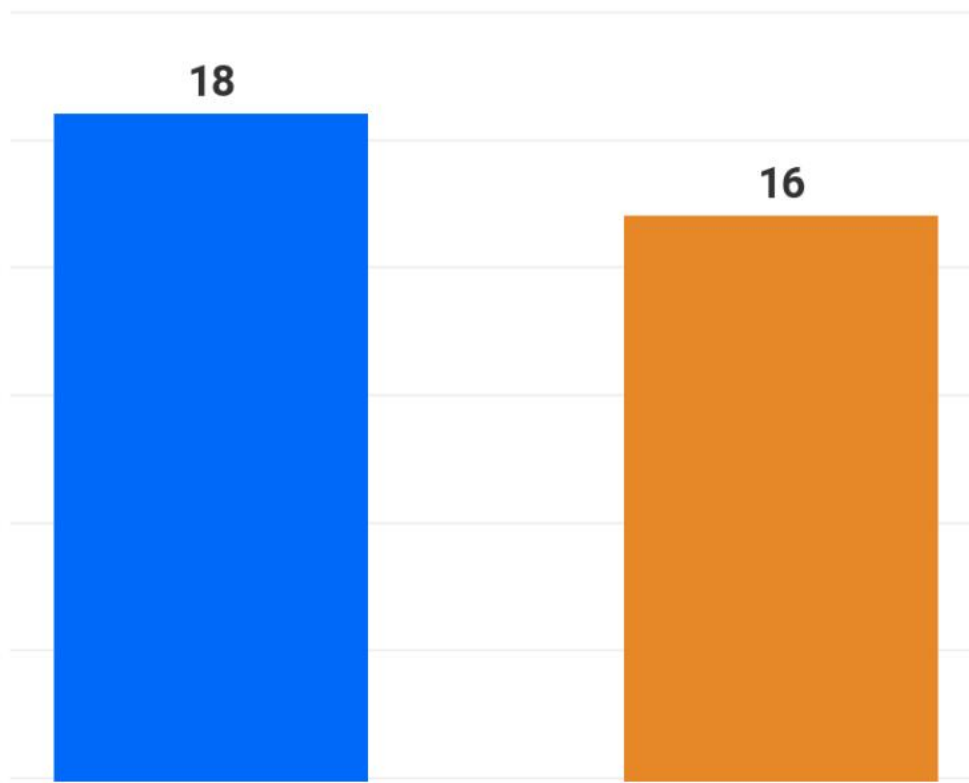
- New laws, foreign partners, and even active military battles are all pointing in the same direction.

That's where we have identified a Government Shift:

A mix of new policies, record federal spending, and billions in overseas money are flowing into U.S. shipbuilding - creating potential long-term opportunities for investors.

The 2027 Navy Budget – Biggest Since 1962

\$65.8B request – 34 new ships





Market Briefs Pro

Data [via](#) the U.S. Navy

Why now? America has been falling behind for years in shipbuilding.

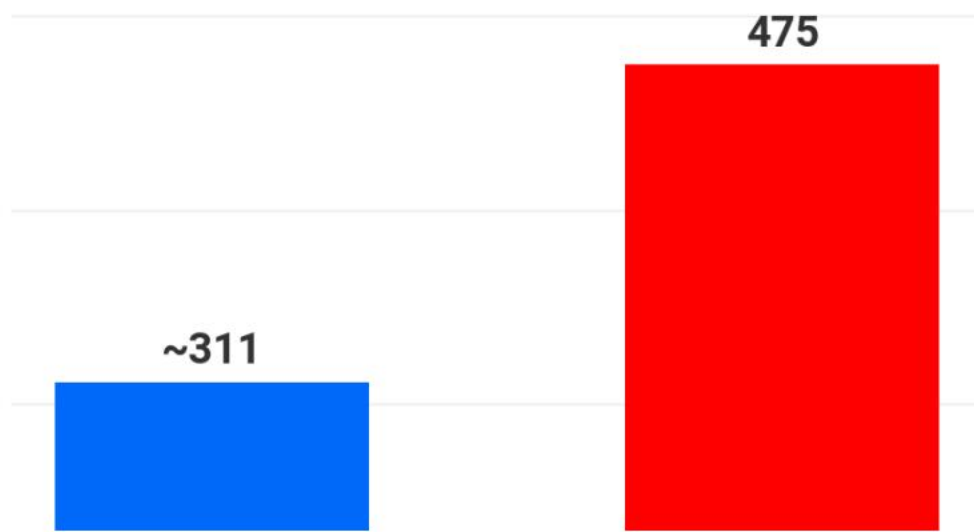
- Roughly 57% of tonnage that is carried by ships built around the world today comes out of Chinese yards.

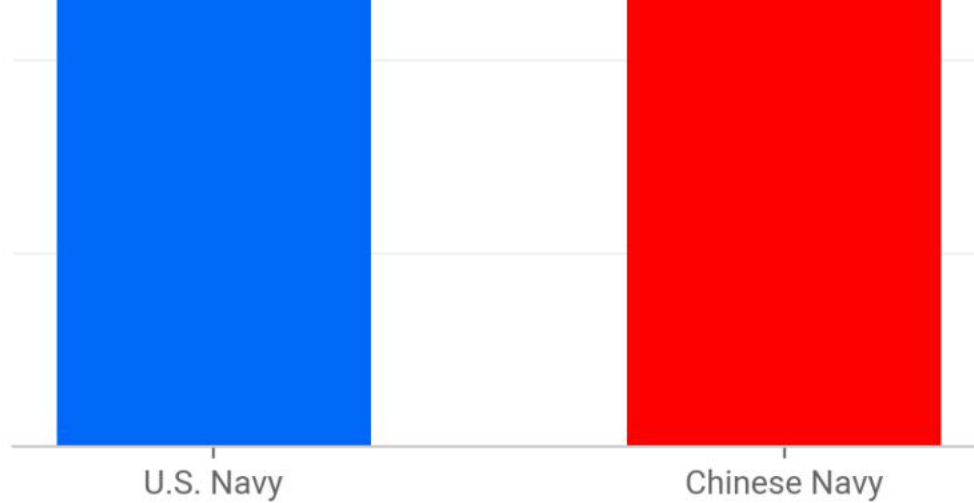
The Chinese Navy is also growing fast - in fact, by 2035, it could have 475 ships.

Meanwhile, the U.S. Navy is forecast to have somewhere between 305 and 317 ships during that same time.

U.S. vs Chinese Navy by 2035

Projected fleet sizes — number of ships





Market Briefs Pro

Data [via](#) U.S. Congress

That gap is part of what is pushing Washington to finally act, putting real dollars behind the move.

These dollars are flowing into companies - so let's break down what's happening, the companies that may benefit, and the risks investors should keep in mind.

ANALYST TAKE

Tickers we're tracking:

Lead builder: HII

Nuclear monopoly: BWXT

Critical parts: CW

THE SHIFT

Shipping America

There are four major policy pieces behind this shift.

First up: The SHIPS Act. Introduced in late 2024 with support from both parties, the bill would create tax incentives for those looking to invest in U.S. shipbuilding.

- It also strengthens older shipping rules and opens the door to long-term spending on yard upgrades.

The bill has yet to pass and fully become a law.

Four Policy Pillars Driving the Shift

1. SHIPS Act (Late 2024) — bipartisan tax incentives for U.S. shipbuilding investment

2. White House Maritime Action Plan (Late 2025) — special zones, faster permits, worker training

3. Port Fees on Chinese Ships — paused until Nov 9, 2026 as part of trade talks

4. 2027 Federal Budget — \$65.8B, biggest shipbuilding ask since 1962

Next: The White House Maritime Action Plan, which was rolled out in late 2025.

It creates special zones across the country where shipyards can expand faster, speeds up permits, and helps train new workers.

Third: Port fees on Chinese ships. In 2025, the U.S. added new fees on Chinese-built ships that dock at American ports.

Those fees are paused until November 9, 2026 as part of trade talks with China. If they come back, it becomes more expensive to use Chinese ships and cheaper to use American ones.

Fourth: The 2027 federal budget. The White House is asking \$65.8 billion be dedicated to shipbuilding, the biggest ask since 1962, covering everything from new submarines to new frigates.

This would be an addition to the current budget for 2027, which aims to be finalized sometime in October of this year.

But the U.S. isn't doing this alone.

South Korea has pledged \$150 billion over the next two decades into American shipbuilding through a program called MASGA, or Make American Shipbuilding Great Again.

That money is going toward partnerships with U.S. yards, new technology, and direct investments.

- Korean company Hanwha Ocean bought a Philly Shipyard back in 2024.

This past March, the same company placed an order for an LNG tanker under the American flag - the first time in about five decades that a U.S. yard has started building one of these specialized ships.

LNG stands for liquefied natural gas, a fuel shipped around the world in giant tankers.

Japan is following Korea's lead with its own partnership deals. That combined foreign money makes it much harder to reverse the plan, even if leadership in Washington

changes.

Together, these four policy moves and billions in allied money form a full plan - not just a one-time boost.

And all of that money has to go somewhere - let's discuss some potential opportunities next.

LEAD BUILDER

The Yard Builder

When it comes to making Navy ships, one American company stands above the rest:

Huntington Ingalls Industries (HII).

What do they do? They build the most important ships in the Navy's fleet:

- Ford-class aircraft carriers (HII is the only builder).
- Virginia-class submarines (shared with one other yard).
- Columbia-class submarines (hull work).
- FF(X) frigates - the Navy's newest frigate program.

Other companies simply cannot replicate what they do without spending years and billions of dollars - that gives it a deep moat.

- As of early 2026, the company has more than \$48 billion in future work already committed - equal to about four years of sales booked up in advance.

Huntington Ingalls Industries, Inc. (HII)

6 Months Price
→

\$364.29

(14 17%)



Data [via](#) Briefs Terminal

In plain English: The company has years of work already lined up.

For 2026, management expects the company to bring in \$12 billion to \$12.3 billion in sales.

Profit margins on its shipbuilding work are also on the mend, with management aiming to get back close to 8%.

Margins simply mean how much profit the company keeps for every dollar of sales.

However, HII has hit some bumps. Over the last couple of years, labor shortages and supply chain delays squeezed its profits.

The company also needs to add around 3,500 more trained staff to its workforce by 2028 in order to meet its goals.

Finding certified nuclear workers, welders, and people who can install pipes and fittings

has become a major challenge for the industry.

Exit Trigger: HII's new FF(X) frigate program could be its weak spot. If the first ship gets delayed by more than 12 months, or if HII runs over budget by \$500 million or more, investors may want to rethink their position.

HII took on this program under a fixed-price deal, meaning cost overruns come straight out of the company's own pocket.

And some costs to build ships have gone up already due to global unrest.

- A major slip here could damage profits and push future frigate orders to competing yards.

Still, every major Navy ship program in the new budget touches HII in some way. That puts the company in a unique spot to potentially benefit from this shift.

NUCLEAR MONOPOLY

Nuclear As A Moat

Making ships and submarines is one thing - but creating specialized technology that goes into those ships is another thing altogether.

BWX (BWXT) is the only U.S. company that makes nuclear reactors for Navy ships.

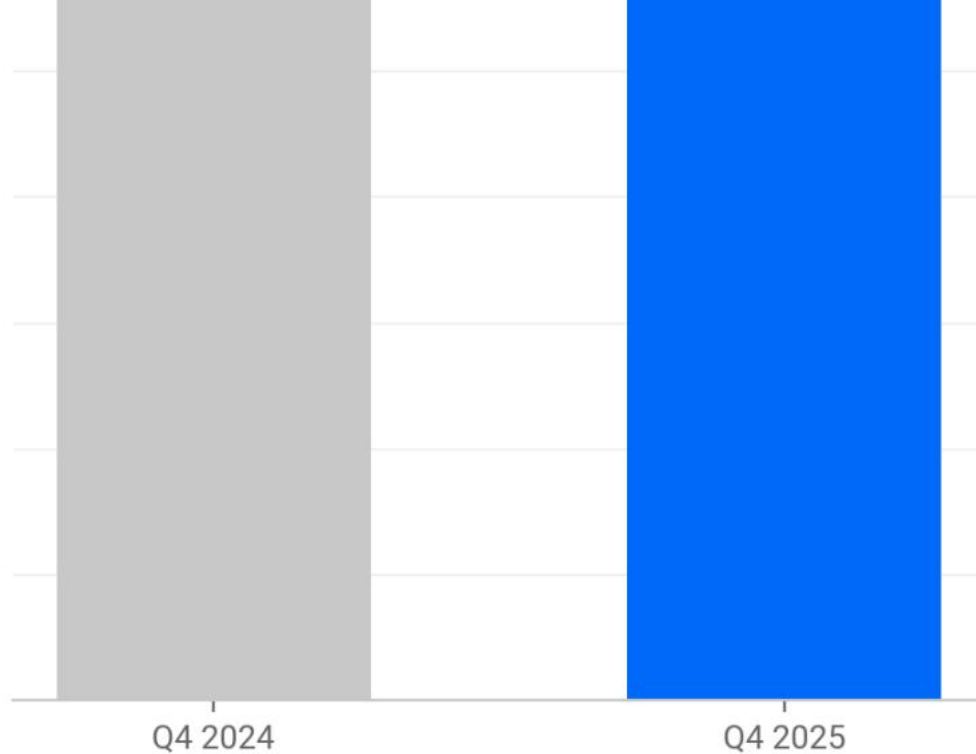
If a Navy ship runs on nuclear power - whether it's a submarine or an aircraft carrier on the surface - the heart of that ship was built by BWXT.

BWXT Future Work Climbed 15% YoY

Contracted backlog, end-of-quarter

Period	Contracted backlog, end-of-quarter
Previous	\$6.35B
Current	\$7.30B

\$7.30B



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Data [via](#) BWX Investor Presentation

There is no other company approved to make these reactors. Getting a new company certified would take about 10 years plus billions of dollars in investment.

At the end of its fiscal year 2025, BWXT shared that its contracted future work had climbed to \$7.3 billion, roughly 50% higher than the same period one year before.

The Columbia-class submarine program is one of the biggest drivers for this boost in future work.

Each of the 10 new subs being built in that program needs a reactor, and those orders will stretch across several decades.

BWXT also has two other growing businesses:

- Project Pele - a line of portable, compact nuclear reactors designed to power military installations stationed abroad.
- Medical isotopes - materials used in cancer diagnostic scans.

Keep in mind: BWXT shares trade at around 32 times forward earnings. That means investors think BWXT is going to grow a lot in the future relative to today.

- If anything goes wrong, like a program delay or a budget cut, shares could fall quickly.

Plus, nearly all of BWXT's revenue comes from the U.S. Navy and government agencies.

BWX Technologies, Inc. (BWXT)

6 Months Price
→

\$216.39
(1.21%)



A big shift in government spending could hurt the company more than most.

Exit Trigger: BWXT's success relies on two big bets - the Columbia-class submarine program staying on schedule, and its Project Pele portable reactor hitting its 2028 demo target.

If either program faces a major delay, then growth could stall, and investors may start to overpay for shares.

Investors may also want to step aside if Congress does not pass the SHIPS Act, since BWXT's revenue comes almost entirely from the U.S. government.

But for investors who believe the Navy's spending plan is here to stay, BWXT offers a rare monopoly-like position worth keeping an eye on.

CRITICAL PARTS

Protected Giant

The final company in this report might also be the most protected: Curtiss-Wright (CW).

What do they do? They make lots of the smaller high-tech parts that keep Navy ships running.

That includes pumps that cool nuclear reactors, specialty valves, measurement tools, onboard computer systems, steering and motion components, and different kinds of sensors.

Each of these parts is tested, approved, and locked into the ship's design for many years. That gives Curtiss-Wright strong pricing power.

The growth in its Naval Defense business helped the company earn a combined \$947 million in sales during the final quarter of 2025.

HII vs BWXT vs Curtiss-Wright

Key metrics from the latest reporting period

	HII	BWXT	CW
Backlog	\$48.0B	\$7.3B	—
Growth	4Y booked	up 15%	up 14.6%
Margin	~8% target	—	18–20%
Fwd P/E	—	32x	30x

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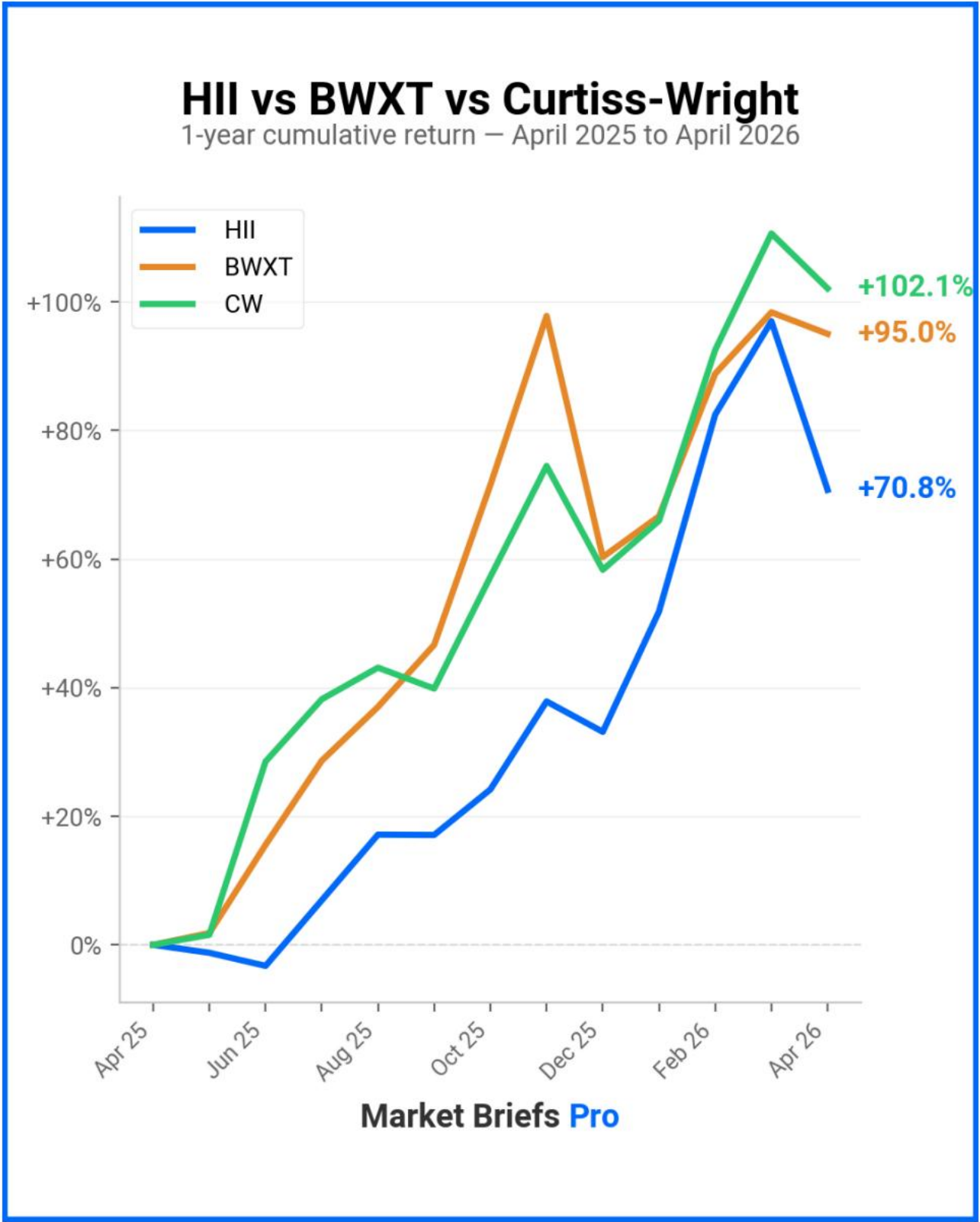
- That's a jump of 14.57% over the same three months in 2024.

That pace of growth outran what the other two companies in this report posted during the same quarter.

On its defense work, Curtiss-Wright usually keeps somewhere between \$18 and \$20 in profit for every \$100 in sales.

- On top of that, the company typically generates more cash than it reports as net income each year.

Free cash flow is the actual cash a company has left over after paying its bills. Higher free cash flow usually means a healthier company.



Data [via](#) Briefs Terminal

Similar to BWXT, Curtiss-Wright shares currently trade at about 30 times forward earnings.

Translation: The stock isn't cheap

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Its commercial power business is also tied to utility spending, which can slow down in tough economies.



Data [via](#) Briefs Terminal

Exit Trigger: Curtiss-Wright's growth depends on the bigger shipbuilding plan staying in

place. Watch two things closely:

- First, if the Section 301 fees on Chinese ships get extended past November 10, 2026 instead of snapping back, the case for growth could get weaker.
- Second, if Korea's \$150 billion MASGA commitment gets cut by more than 30% - or pulled entirely - the allied money pillar breaks down. Either event could signal its time to step aside.

Still, with Navy spending rising, Curtiss-Wright may be another name investors want to keep on their radar.

RISKS

What Could Sink This Shift

First, the Section 301 fees could be delayed again. If they don't come back on November 9, 2026, U.S. shipbuilders lose one of their cost advantages over Chinese rivals.

Second, Korea's \$150 billion investment could shrink. A political change in Seoul or a corporate shake-up could slow down the flow of money.

Third, a future Democratic sweep in 2028 could roll back parts of the SHIPS Act. The bill has support from both parties today, but that can change.

What Could Sink This Thesis

**Section 301 port fees on Chinese ships
get delayed again past November 2026**

**South Korea's \$150B MASGA commitment
shrinks due to political or corporate
shifts in Seoul**

A 2028 Democratic sweep rolls back parts of the SHIPS Act, weakening the legislative pillar

Active military conflicts cool off, easing urgent demand for new ships and weapons

HII or another key program stumbles on a major project – big delay or cost overrun

Heavy reliance on a single customer – the U.S. government – makes revenue politically exposed

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Fourth, current military conflicts could cool off. Less fighting means less urgent demand for new ships, weapons, and fuel.

Fifth, HII or another key company could stumble on a major project. A big delay or cost overrun could hurt investor confidence.

Last, these companies depend heavily on one customer: The U.S. government.

If the government changes its mind, the companies in this report may see their main source of revenue shrink quickly.

Making American Ships Again

The U.S. has not pushed to rebuild its shipbuilding industry this aggressively since the 1960s.

Three forces are coming together:

- A record Navy budget backed by both political parties.
- \$150 billion of Korean industrial money flowing into U.S. yards.
- Active U.S. naval operations creating real demand for more ships.

That combination is rare. And it may last much longer than most Wall Street analysts believe.

Three Stocks, Three Exit Triggers

**HII – FF(X) frigate program slips by
12+ months OR runs \$500M+ over budget
on its fixed-price deal**

**BWXT – Columbia-class submarine
program falls off schedule OR Project
Pele misses its 2028 demo target**

**Curtiss-Wright – Section 301 fees on
Chinese ships lapse past Nov 10, 2026
OR Korean MASGA cut by 30%+**

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This isn't likely to be a quick pop, but a spending cycle could run through 2030 or even longer.

As with any long-term trend, there are risks.

But with the biggest Navy budget in more than 60 years on the table, shipbuilding is a space investors may want to keep an eye on for years to come.



- Market Briefs Pro Team

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Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.